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HK Exchanges & Clearing | Asia Pacific

2Q26 Preview: Strong core revenue growth partly offset by lower investment gains

We expect HKEx to deliver another healthy quarter in 2Q26 – revenue and profit to rise 12% and 14% YoY, respectively, with strong core business growth supported by solid ADV but partly offset by lower investment gains.

Key Takeaways

- We expect 2Q26 revenue of HK\$8,118mn, up 12% YoY, with strong core business revenue supported by higher ADV; partly offset by lower net investment income.
- We expect trading fees and clearing fees in 2Q26 to increase 25% and 43% YoY, respectively, supported by strong ADV growth as well as solid northbound volume.
- We estimate HK\$971mn net investment income in 2Q26, down 37% YoY and 24% QoQ, due to lower rolling 6M HIBOR, more rebates and the exit of external portfolio.
- We estimate a 14% YoY increase in 2Q26 profit, with lower cost-income ratio but modestly higher tax rate YoY.
- IPO funds raised was HK\$210bn in 1H26, up 92% YoY. IPO pipeline remains healthy with 474 IPO applications under processing as of the end of July.

ADV remains the key growth driver: We expect headline ADV to reach HK\$290bn in 2Q26, up 22% YoY and 5% QoQ, which further exceeded HK\$300bn in both June and July. Notably, northbound ADV recorded a solid 150% YoY growth. This should support trading fees and clearing fees in 2Q26, up 25% and 43% YoY, respectively. Southbound ADV lagged the overall cash market, up only 8% YoY or flat QoQ, which still constitutes >20% of total HK turnover. Derivatives ADV increased 16% yoy, driven mainly by options, but declined 2% QoQ.

We estimate close to 40% yoy decline in net investment income, due to: 1) a high base in 2Q25, especially with larger margin fund size and higher income from debt securities/exchange gains from internally managed Corporate Funds; 2) yoy lower 6M HIBOR – average six-month HIBOR (rolling 182 days) was 2.92% in 2Q26, vs 3.89% in 2Q25; 3) redemption of the external portfolio; and 4) more rebates under the new mechanism.

Positive operating leverage on a YoY basis: We expect revenue growth of 12% YoY to exceed the 7% increase in expenses, resulting in 14% growth in operating profit. We also expect a lower cost-income ratio at 20%. We factor in a 16% tax rate (same as in the previous quarter), and we expect profit growth of 14% YoY in 2Q26.

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HK Exchanges & Clearing (0388.HK, 388 HK)

Hong Kong Financials | Hong Kong

Stock Rating	Overweight			
Industry View	In-Line			
Price target	HK\$515.00			
Up/downside to price target (%)	26			
Shr price, close (Aug 13, 2026)	HK\$408.20			
52-Week Range	HK\$466.00-360.00			
Sh out, dil, curr (mn)	1,271			
Mkt cap, curr (mn)	HK\$518,811			
EV, curr (mn)	HK\$519,209			
Avg daily trading value (mn)	HK\$1,964			
Fiscal Year Ending	12/25	12/26e	12/27e	12/28e
EPS (HK\$)**	14.01	14.40	15.38	16.44
Prior EPS (HK\$)**	-	-	-	-
EPS (HK\$)§	13.76	15.39	15.73	16.89
EBITDA (HK\$ mn)	22,822	23,517	25,191	26,958
ModelWare net inc (HK \$ mn)	17,754	18,253	19,485	20,832
P/E	29.1	28.3	26.5	24.8
P/BV	8.8	8.5	8.3	7.9
RNOA (%)	32.7	31.2	32.2	33.2
ROE (%)	32.6	31.1	32.1	33.2
EV/EBITDA	22.7	22.1	20.6	19.3
Div yld (%)	3.1	3.1	3.4	3.6
Leverage (EOP) (%)	0.7	0.7	0.6	0.6

Unless otherwise noted, all metrics are based on Morgan Stanley ModelWare framework

** = Based on consensus methodology

§ = Consensus data is provided by Refinitiv Estimates

e = Morgan Stanley Research estimates

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AlphaSignals Earnings Preview

Focus KPI	Focus KPI Surprise	Likely impact to consensus EPS*
HK Exchanges & Clearing	0388.HK	
ADV	— In-line	— Largely unchanged

*Likely impact to consensus EPS is for the next 12 months
Source: Company data, Morgan Stanley Research

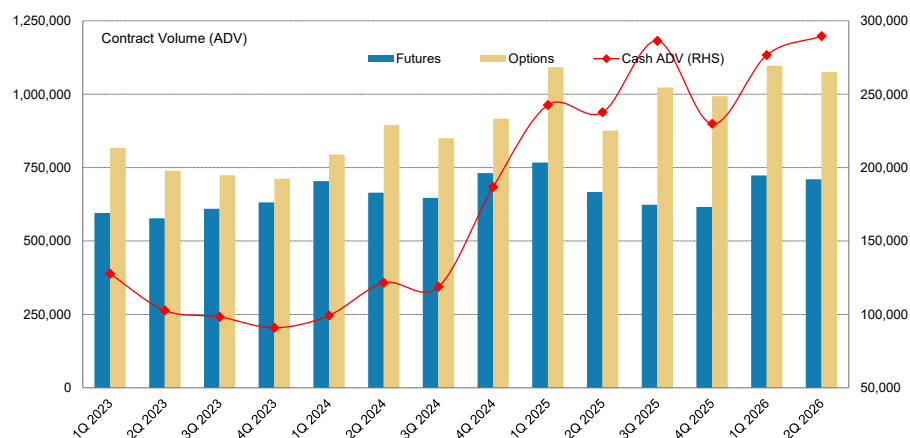
2Q26 Data Pack

Exhibit 1: We expect 2Q26 revenue and profit to increase 12% and 14% yoy, respectively, supported by 12% higher ADT yoy, partly offset by lower net investment income.

HKD mn	2Q25	3Q25	4Q25	1Q26	2Q26E	YoY	QoQ
Revenues:							
Trading fees & tariff	2,375	2,925	2,502	2,995	2,978	25%	-1%
Listing fees	408	452	521	547	450	10%	-18%
Clearing & settlement fees	1,559	2,118	1,769	2,115	2,226	43%	5%
Depository fees	437	441	394	339	568	30%	68%
Information fees	290	306	300	316	313	8%	-1%
Net Investment income	1,542	1,018	1,218	1,281	971	-37%	-24%
Others	608	515	606	610	612	1%	0%
Total revenues	7,219	7,775	7,310	8,203	8,118	12%	-1%
Expenses:							
Staff costs	988	1,009	1,039	1,052	1,071	8%	2%
IT	234	234	261	242	253	8%	4%
Depreciation	385	382	443	381	412	7%	8%
Others	312	307	378	317	319	2%	1%
Total expenses	1,919	1,932	2,121	1,992	2,054	7%	3%
Operating profits	5,276	5,820	5,165	6,189	6,039	14%	-2%
Profit before tax	5,285	5,825	5,169	6,198	6,048	14%	-2%
Tax	821	911	808	990	966	18%	-2%
Profit for the period	4,464	4,914	4,361	5,208	5,082	14%	-2%
Profits attributable to HKEx shareholders	4,442	4,900	4,335	5,188	5,060	14%	-2%
EPS (HK\$)	3.51	3.88	3.43	4.10	3.99	14%	-3%
DPS (HK\$)	6.00	n.a.	6.52	n.a.	n.a.		
ADT on Stock Exchange (HK\$bn)	238	286	230	277	290	22%	5%
Cost Income Ratio	21%	20%	23%	20%	20%	-1%	1%

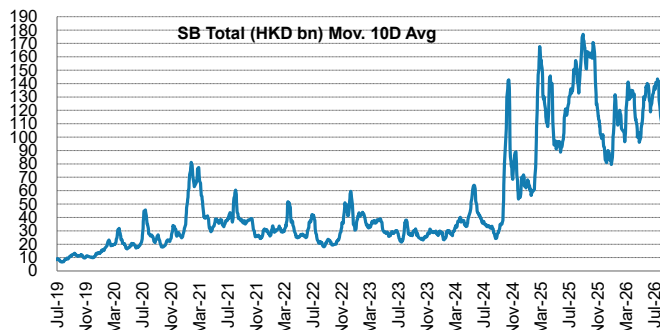
Source: Company data, Morgan Stanley Research (E) estimates

Exhibit 2: 2Q26 ADV for cash market was HK\$290bn, up 22% YoY or up 5% QoQ; ADV for derivatives increased 16% YoY but declined 2% QoQ.



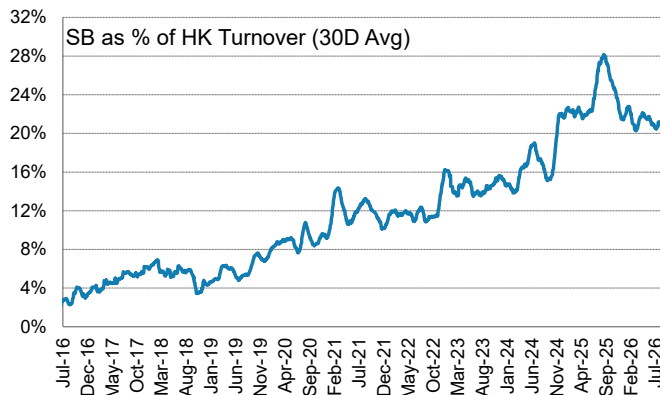
Source: Company data, Morgan Stanley Research

Exhibit 3: Southbound daily total volume (10-day moving average) was ~HK\$121bn in 2Q26, up 3% QoQ



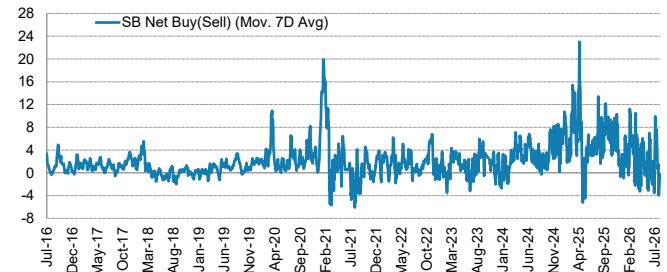
Source: HKEX, CEIC, as of August 4, 2026

Exhibit 5: Southbound total volume % of HK turnover (30-day moving average) remained above 20%



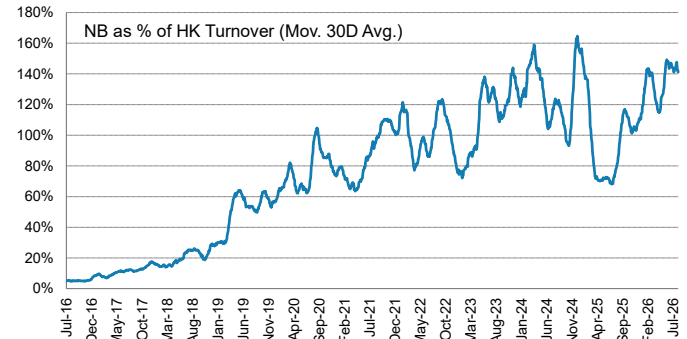
Source: HKEX, CEIC, as of August 4, 2026

Exhibit 4: Southbound net buying fluctuated in 2Q26



Source: HKEX, CEIC, as of August 4, 2026

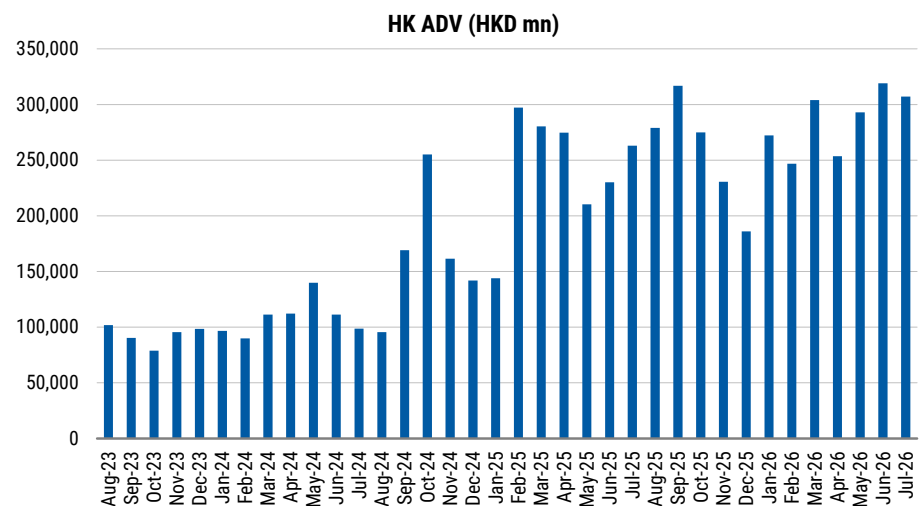
Exhibit 6: Northbound total volume % of HK turnover (30-day moving average) picked up to above 140% since mid May



Source: HKEX, CEIC, as of August 4, 2026

Exhibit 7:

Monthly ADV picked up and remained above HK\$300bn in June and July.



Source: HKEX, CEIC, Morgan Stanley Research

HKEx is due to report 2Q26 results on August 19, 2026.

Valuation Methodology and Risks

HK Exchanges & Clearing (0388.HK)

HK\$515: Probability-weighted 25% bull, 65% base, 10% bear. Skew reflects our view of higher ADV and more funds flow after financial risks bottom.

Base: 34x 2026e P/E - a level in 2021 when market sentiment remained high

Bull: 40x 2026e P/E - a level achieved in 2020 when IPO momentum was quite strong

Bear: 32x 2026e P/E - a level higher than 2022-2024 when lingering uncertainties persisted

Risks to Upside

- Sharp pickup in market fundraising activity
- Accelerated IPO pipeline conversion
- Liquidity improvement in China and globally
- Policies to boost the capital market

Risks to Downside

- Regulations affecting ADV and velocity
- IPOs not proceeding as expected for various reasons
- Stronger-than-expected policy tightening
- Lower revenue contribution from MSCI index future and option products
- Geopolitical uncertainties

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	Count	% of Total	Count	% of Total IBC	% of Rating Category	Count	% of Total Other MISC
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Equal-weight/Hold	1582	43%	396	42%	25%	773	44%
Not-Rated/Hold	3	0%	1	0%	33%	1	0%
Underweight/Sell	560	15%	97	10%	17%	217	12%
Total	3,674		936			1741	

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INDUSTRY COVERAGE: Hong Kong Financials

COMPANY (TICKER)	RATING (AS OF)	PRICE* (08/13/2026)
Nick Lord		
BOC Hong Kong (2388.HK)	U (01/04/2025)	HK\$50.75
HSBC Holdings (0005.HK)	O (01/13/2026)	HK\$163.00
Standard Chartered (2888.HK)	O (10/17/2022)	HK\$238.80
Richard Xu, CFA		
HK Exchanges & Clearing (0388.HK)	O (02/24/2025)	HK\$408.20

Stock Ratings are subject to change. Please see latest research for each company.

* Historical prices are not split adjusted.